

Intercompany Transfer Pricing Memorandum

Aethelion Networks Inc. • Fiscal Year 2026

INTERCOMPANY TRANSFER PRICING MEMORANDUM

To: Global Tax Operations and Corporate Controller

From: Transfer Pricing Center of Excellence

Date: August 18, 2026

Subject: FY2026 Transfer Pricing Methodology for Software IP Licensing

Executive Summary:

This memorandum documents the transfer pricing methodology applied to the intercompany licensing of the "AetherCloud" software intellectual property (IP) between Aethelion Networks Inc. (US Parent Entity and IP Owner) and Aethelion Europe DAC (Irish Subsidiary and European Distributor) for the fiscal year ending December 31, 2026.

Functional and Risk Analysis:

Aethelion US performs all core research and development (R&D) activities, bears the entirety of the technological obsolescence risk, and holds legal title to the software source code. Aethelion Europe DAC operates as a limited-risk distributor (LRD) responsible for localized marketing, sales execution, and Tier-1 customer support within the EMEA region.

Selected Methodology:

Based on OECD Transfer Pricing Guidelines, we have selected the Transactional Net Margin Method (TNMM) as the most appropriate transfer pricing method. Aethelion Europe DAC is designated as the tested party due to its less complex functional profile.

Benchmarking and Arm's Length Range:

A benchmark study of comparable independent software distributors in the EMEA region was conducted. The selected Profit Level Indicator (PLI) is the Operating Margin (Operating Profit / Net Sales). The interquartile range of the comparables' operating margins over the prior three years is 3.2% to 6.8%, with a median of 4.5%.

Royalty Calculation:

To ensure Aethelion Europe DAC achieves a routine operating margin within the arm's length range (targeting the 4.5% median), the intercompany royalty rate charged by Aethelion US for the IP license is set at 18.5% of Aethelion Europe's gross third-party software subscription revenues. This rate will be reviewed quarterly and trued-up at year-end.